

Benefit Cards PRD

Benefit Cards

Overview

The Multi Benefit Card is a prepaid, multi-wallet card solution designed for corporates to offer their employees a seamless, compliant, and tax-efficient way to manage multiple employee benefits. The card features distinct wallets for Food/Grocery, Fuel, and Telecom expenses, each governed by specific usage rules and merchant category code (MCC) restrictions. This structure ensures that employee benefits are utilized strictly for their intended purposes, enhancing compliance and simplifying expense management for both employers and employees.

Value Proposition

- Streamlines employee benefit disbursement and usage.
- Ensures regulatory compliance and tax efficiency.
- Enhances employee experience with a single, easy-to-use card for multiple benefit categories.
- Provides organizations with robust controls and reporting.

Step 1: Structured Partner Corporate Onboarding

Structured Partner Corporate Onboarding Process

Overview A new use case has been introduced for structured partner onboarding, specifically designed for corporate entities that want to issue benefit cards to their employees.

Process Flow

1. **Business Model Setup** The structured partner corporate will be registered as a "Registered Business" within the Tide Business Identity Data Management (BIDM) system
2. **Corporate Partner Profile** This structured partner represents a corporate entity seeking to provide benefit cards to their workforce.
3. **Onboarding Policy** Transcorp will provide and manage the corporate onboarding policy framework.

4. **Know Your Business (KYX) Verification** The KYX process will be conducted manually, following the same procedures as the current structured partner onboarding workflow.
5. **Business Account Creation** Upon successful completion of onboarding at Transcorp, the Partnerships team will:
 - Create a Tide Business account using the Create Partner form BOT
 - Use partner type = Structured partner with target product as "Benefits Cards"
6. **Configure Benefits at Corporate Level - Partnerships team to define the benefits. Edit capabilities should be possible every financial year - Slice 2**
7. **User Management Setup** After business account creation, the Partnerships team will establish admin users who can:
 - Access the Tide web portal
 - Issue benefit cards to employees
 - **Role Management** Currently available roles include:
 - Admin role (existing) - Slice 1
 - Two additional roles are developed by the IAM team with mapped permissions

Personas (to be validated)

- Admin: This persona will have access to invite employees, allocate cards, enable benefit wallets and initiate the monthly transactions.
- Finance: This persona will have access to review the monthly transactions staged and approve them.
- Approver: This persona will have access to approve the bills submitted by the employees for the benefits allocated to them if they spend from their own pocket
- Employee: This persona will have the benefit card with an access to view the transactions done for each benefit wallet allocated and submit bills for the transactions done using personal account

Step 2 - Employee Benefit Card Distribution Options (In Partner Creation form in BOT or Settings under Profile)

Option 1: Direct Employee Delivery Employers can ship personalized benefit cards directly to employees' registered addresses.

Option 2: Bulk Office Delivery Employers can receive non-personalized cards at their office location for internal distribution.

Technical Consideration for Option 2 This bulk delivery option requires enabling instant cards as the target product. Currently, instant cards operate using referral code logic.

Key Question: Can the instant card functionality be adapted to work with bulk lead upload logic instead of the current referral code system?

Decision Required: If bulk lead upload integration is not feasible, we need to choose between:

- **Enable instant cards** for bulk delivery functionality, or
- **Remove Option 2** entirely from the available distribution methods

Recommendation Needed: Technical assessment required to determine the viability of modifying instant card logic to support bulk operations before finalizing the distribution options for employers.

Process note:

Employee Benefit Card Enrollment Process

1. **Employer Communication** - Employers distribute communication to all employees presenting the option to participate in the benefit allowance program (typically in the start of the financial year - 1st April - 31st March)
2. **Access Provision** - Employers send mass communication that includes the direct link to the payroll application for employee access.
3. **Employee Selection and Configuration** Employees interested in benefit cards access the payroll solution to: (Phase 2)
 - **Select their preferred benefit categories**
 - **Define monthly spending limits for each chosen benefit type (within the maximum monthly limit)**
4. **Report Generation and HR Action** - The payroll solution generates a comprehensive report for HR administrators, which enables HR teams to:
 - **Send invitations to participating employees for benefit card onboarding**
 - **Configure benefit wallets based on employee preferences**
 - **Process benefit distributions according to selected parameters**

Step 3: Invite Employees who have opted for Benefit wallets:

To design the onboarding journey for the Employee Benefits Card in a way that aligns with the existing onboarding flows within the Tide app, ensuring compatibility and a consistent experience across all KYX levels: KYX_0, KYX_A, KYX_C

The invitation and onboarding of eligible members for the Tide Benefits Card can follow either of two primary routes:

1. Referral-Based Approach (Suited only for Tide and Tide employees)

- New Members:
 - Members can enter a designated referral code during onboarding.
 - Based on this code, member details are auto classified using pre-defined criteria.
- Existing Members:
 - Referral codes for eligible existing members are updated via internal BOT workflows.
 - For KMs (KYX_C): Entry point available on the Home Screen? Or any other entry point the design team proposes

2. Bulk Upload-Based Approach (Suited for Tide as well as external employers and employees)

- Enable bulk lead registration on the current member management page
- Corporate admin has an option to invite Employees by preparing a bulk upload file with - Full name, PAN number, phone number, email ID, **communication address** (email ID is most likely going to be back for IN in Q4 as an optional field)
- Admin will be able to see the Tide onboarding status of the employee
- Employees with Partner type = 'Benefits Card' will be shown Benefits card entry point in the following way
- Employees get a text message/email that they have been invited by their organization to sign up for Benefits card
- Corporate can invite employees anytime of the year

Entry Point Logic (Based on Member Type & KYX Level) This methodology ensures that only eligible gain access to the Benefits Card journey, maintaining control, security, and a seamless user experience across all channels.

Entry Point Logic (Based on Member Type & KYX Level)

Member Type	KYX Level	Entry Point	Benefit wallet/Card
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New Member	KYX_0 → trigger full KYC flow	Benefit Cards entry point on the Progressive Onboarding Screen	Benefit card gets issued after successful full KYC
Existing RMs	KYX_0 / KYX_A → trigger full KYC flow	Benefit Cards entry point on the Progressive Onboarding Screen	Benefit card gets issued after successful full KYC
Existing KMs	KYX_C	Benefit card entry point - Home Screen/Payments/AAdmin?? Agreed for phase 1: entry point through “Recommended for you” section and Push notification	Benefit wallets are enabled on the existing Tide card
KYC Rejected cases			

Step 4 - Benefit Wallet and Limits configuration (Phase 2)

1: Account Prerequisites Based on BIDM modeling, if the benefit card holder is configured as a separate business entity, multi-wallet benefits cannot be set up until the employee completes sign-up and their Tide PPI account is established. A valid Tide account must exist before any benefit configuration can proceed.

2: Interface Setup Add a new tab labeled "Benefit Configurations" to the existing interface.

3: Configuration Options The Benefit Configurations tab will display 4 available options:

- Food
- Fuel
- Telecom
- Rewards and Recognition (*List pending confirmation with Transcorp*)

4. Wallet Limits - Every benefit card has a monthly and yearly limit

(To be confirmed with Transcorp)

4: Employee Benefit wallet Setup The Corporate Structured Partner will have the ability to configure benefit wallets specifically for employees who have successfully completed the sign-up process

5: Payout Configuration Admin will set the monthly benefit amount for each wallet being configured. The system will automatically multiply the monthly amount by the remaining months in the current financial year to determine the total allowable limit. All configurations are visible to the Employers

Note - Benefit wallets and amount cannot be changed/edited

Technical consideration: Can the wallets be configured/wallet preference is stored even before the employee onboards on Tide?? - Possible (just like NCMC)

Step 5: Corporate Load Funds (reuse the existing load funds feature)

1: Fund Loading Process - The Corporate will utilize the current load funds mechanism already in place.

2: Payout Calculation and Funding - The corporate will calculate the total payout file amount and load the equivalent funds into their virtual Tide account before each benefit distribution cycle.

3: Prepaid Distribution Model - The corporate will operate under a prepaid framework for benefit distribution, ensuring funds are available in their account prior to processing employee benefit payouts.

4: Remitter Name Configuration - The remitter name for the funds will be the name of the corporate entity. This approach requires validation with the legal team to confirm compliance.

Additionally, verify the remitter name configuration used for Sodexo Pluxe benefit cards as a reference point

5. Payout exploration - Run at Employee level, wallet level? Explore with design team
6. Primary fields/composite ID between Payroll system and Tide system to identify employees - Bulk lead registration fields

Step 6: Benefit Payouts Process

- 1: Payout Eligibility - Once benefit wallets are configured, administrators can initiate payouts to employees who have successfully completed their Tide onboarding process.
- 2: Payout Methods (Phase 1) Phase 1 implementation will support manual payouts only. Scheduled/automated payouts are excluded from the current scope (do not need the designs). The existing user interface and CSV bulk payout functionality can be utilized to process payouts to benefit card holders.
- 3: Wallet Selection Administrators must specify the target wallet type when processing payouts (Food, Fuel, Telecom, office wear allowance or Rewards and Recognition).
- 4: Transaction Tracking - All payout transactions, both successful and failed, will be recorded and displayed on the timeline for audit and tracking purposes.
- 5: Failed payouts will include specific decline reasons for troubleshooting:
 - Employee onboarding incomplete/Wallet not found
 - Additional decline reasons to be identified and documented

Activities for Tide

MCC-Wallet Mapping Configuration

1. Tide and M2P both have the exact same configuration
2. Each wallet type will have designated permissible Merchant Category Codes (MCCs) that define where the benefit cards can be used.
3. Regulatory Compliance - Transcorp must provide the MCC mapping aligned with Income Tax of India definitions to ensure tax compliance for benefit transactions
4. Update Frequency Assessment - Determine how often the Income Tax Department of India updates these MCC configurations to establish an appropriate refresh schedule for system alignment (Payment Ops to own this)

Benefit Card Holder Experience

1. Onboarding

- Phase 1 - Employee adds the referral code of their employer at the time of onboarding
- Phase 2 - When the HR admin invites the employee to get onboarded → Employee receives an invitation SMS with the Tide app link
- Both phases - They are presented with options based on their Tide Membership status (refer point Step 3)

2. Post-Onboarding

- Physical card
 - i. Phase 1: Regular blue Tide card - Q3
 - ii. Phase 2: Special benefits cards - Q4
- Entry point for Employees
 - i. Progressive onboarding entry point for RMs and New Members
 - ii. Some entry point for fully KYCd Member
- Card activation - Same as existing
- Set PIN - Same as existing
- View digital card details - Same as existing
- Wallets - Same as NCMC/Travel account?
 - Every wallet to have it's landing page and transaction history/timeline
- Limit and channel management - Same as existing (Note ATM channel not available for benefit wallets - should be indicated to the card holder)
- Benefit card can be issued only after full KYC
- Reimbursement process: This process enables employees to submit bills for expenses paid from their personal accounts. Since these transactions occur outside of Tide, they won't be automatically recorded in the app.
 - Employees will be able to manually record these transactions in the Tide app.
 - Each transaction should be assigned a category that represents the relevant wallet.
 - Transactions will require verification and approval.
 - Once approved, the transaction amount will be deducted from the wallet and moved to the Reimbursement wallet (or Open Loop wallet).
 - **Considerations:**
 - Members should get an option to file for a reimbursement txn

- Employee Member specifies - benefit wallet, amount spent, receipt of the txn, comments (all mandatory) when submitting a reimbursement
- If the transaction amount exceeds the wallet balance, only the available wallet balance should be transferred
- When the Reimbursement request is approved (it's essentially money moved from a benefit wallet to the main wallet). Hence, the reimbursement transaction credit entry should appear under the Main Tide account timeline and a debit entry gets updated on the benefit wallets timeline
- Once the transaction is approved, Tide will adjust the balance for the respective wallet (Ops process in the backend)
- All reimbursement filed by the Member should be accessible by the Member (Introduce a new section 'Reimbursements')
- Employee should be able to monitor the status of the reimbursement request
- Example:
 - Employee spent INR 1000 for telecom bill
 - Employees will create the transaction manually in the Tide app.
 - Employees will add all the relevant info for the transaction, such as invoice, Amount, Category/Wallet.
 - The transaction will be sent for approval.
 - Once approved the amount will be adjusted from Telecom wallet to Main/Reimbursement wallet.

3. Multi-Wallet configuration

- Wallets are configured at Employer level by the Partnerships team (depending on the kind of benefits they offer to their employees)
- Example - Tide offers Food, Fuel, Rewards and Reimbursement/Main account. Partnerships team will configure food, fuel, rewards benefit wallet (Main/Reimbursement account is created by default)
- All employees will see the wallets defined at corporate level
- Example - Employee A has opted for Food and Rewards only but they will also see Fuel benefit wallet (Main wallet is default)

Transaction Processing

Network-Based Approach - Tide will not establish direct merchant-specific partnerships similar to Sodexo's model.

Transaction Routing - All benefit card transactions will be processed through the RuPay network infrastructure, ensuring broad merchant acceptance without requiring individual partnership agreements.

Wallet Type	Transaction Type	Refund/Reversal case	Comments
Fuel	• Card TXN • Card TXN Refund • Card TXN Reversal	Refunds in the respective wallets if deducted. Scenario: • Employee does a transaction on fuel station • Funds got debited • Transaction got failed due to technical issues • The reversal should be processed in the fuel wallet	
Food	• Card TXN • Card TXN Refund • Card TXN Reversal	Scenario: • Employee does a transaction on food or grocery store	

		• Funds got debited • Transaction got failed due to technical issues • The reversal should be processed in the Meal wallet Online transaction: • Employee does a transaction on swiggy or Zomato. • Order is not fulfilled and refund is processed • The transaction should be refunded in the meal wallet	
Telecom	• Card TXN • Card TXN Refund • Card TXN Reversal	Online transaction: • Employee does a transaction on telecom	

		companies app • Order is not fulfilled and refund is processed • The transaction should be refunded in the meal wallet	
General	All transaction	General wallet transactions should be expected at all the merchants and refund and reversal should be processed to this wallet if the original transaction originated from it.	

• Fallback condition

- [1] - Support is needed from the M2P side - they need to figure out that the appropriate Benefit Wallet does not have enough balance and needs to fallback to GENERAL.
 - Change on M2P side
 - M2P to send the same productCode in Authorisation payload to TIDE.

- [2] - Tide does the fallback logic, and in Authorisation (Approval/Decline) response, Tide sends updated productCode to M2P
 - Change is on both TId, M2P
 - M2P to also Debit from the same wallet based on productCode.
- [3] - Both Tide / TC(m2p) do not support fallback at all
 - Loss of revenue, bad experience for members : [Nikita Gangwani](#) [Prateek Kumar Khurana](#)
- [4] TC/M2P end up with a single **Benefit wallet(not GENERAL)**, and only Tide has multiple wallet config/fallback - same was proposed by TC, but reconciliation might have to reconcile everything at (Safeguarding Parent account only)

Tide preference for Option-1

Primary Wallet (Transaction Type)	Fallback Option 1	Final Outcome
Fuel Wallet (Petrol pump, fleet stations, oil companies MCCs)	General Wallet Balance > Txn Amt Approve	Declined
Meal Wallet (Restaurants, food-delivery apps, grocery stores MCCs)	General Wallet Balance > Txn Amt Approve	Declined
Telecom Wallet (Mobile/DTH recharge, telecom MCCs)	General Wallet Balance > Txn Amt Approve	Declined
General Wallet (All merchant categories)	NA	Declined

Important Note: Cross-usage between the three benefit wallets (e.g., Fuel → Meal) is **not allowed** due to tax compliance restrictions. Hence, the only fallback path for each restricted wallet is the **General Wallet**.

Functional Scenarios

1. Fuel Wallet Transaction Fallback

- **Context:** Employee attempts ₹1,500 payment at IOCL Petrol Pump.
- **Wallet Status:** Fuel Wallet = ₹1,000, General Wallet = ₹5,000.
- **System Flow:**
 - Attempt deduction from Fuel → insufficient (₹1,000 < ₹1,500).
 - Use General Wallet for the amount ₹1,500
 - **Transaction Approved** (deduction: General ₹1,500).

2. Meal Wallet Transaction Fallback

- **Context:** Employee orders food for ₹700 via Swiggy.
- **Wallet Status:** Meal Wallet = ₹200, General Wallet = ₹2,000.
- **System Flow:**
 - Attempt deduction from Meal → insufficient.
 - Deduct ₹700 from General.
 - **Transaction Approved.**

3. Telecom Wallet Transaction Fallback

- **Context:** Employee recharges Jio mobile for ₹399.
- **Wallet Status:** Telecom Wallet = ₹100, General Wallet = ₹1,000.
- **System Flow:**
 - Attempt deduction from Telecom → insufficient.
 - Deduct ₹399 from General.
 - **Transaction Approved.**

4. Decline Scenario (All Wallets Insufficient)

- **Context:** Employee attempts ₹1,000 purchase at a restaurant.
- **Wallet Status:** Meal Wallet = ₹100, General Wallet = ₹400.

- **System Flow:**

- Attempt deduction from Meal → insufficient.
- Fallback to General Wallet
- No other sources left.
- **Transaction Declined** with reason “**Insufficient balance across all wallets.**”

- **Balance Sync**

Scenario:

Balance	Transaction Status
Wallet balance at Tide Fuel= INR 0 General Wallet = INR 0 Wallet balance at M2P Fuel=INR 2000 General Wallet=INR 0	Transaction Authorised at M2P. Transaction Decline at Tide. Final Status = Decline
Wallet balance at Tide Fuel= INR 0 General Wallet = INR 1000 Wallet balance at M2P Fuel=INR 1000 General Wallet=INR 1000	Transaction Amount at Fuel Station = INR 2000 Transaction Authorised at M2P from Fuel wallet Transaction Authorised at Tide from General wallet Balance after transaction: M2P- Wallet Fuel = INR 0 Wallet General = INR 1000 Tide - Wallet Fuel = INR 0 Wallet General = INR 0

- Audit compliance and Recon
 - Account type in Tide Ledger file
- SMS based on wallet Spend/Load

Authorisation

- Option-1
 - No major challenge
- Option-4
 - Tide will have to map MCC → ProductCode → Child Wallet , post these on Child Wallet. Ledger will clone them on Parent(SafeGuarding) acc.
 - MCC code used for Authorisation should remain the same for immediate reversals, refunds, adjustments. As MCC to productCode mapping is the only way for TIDE to know the child Wallet. M2P does not have child wallets.

Reversals

- Option-1 & Option-4
 - Both Rupay / VISA have Original RRN, can be used to figure out the wallet where CREDIT should be posted.

Refunds / Adjustments

- Option-1
 - No major challenge
- Option-4
 - Tide will have to map MCC → ProductCode → Child Wallet , post these on Child Wallet. Ledger will clone them on Parent(SafeGuarding) acc.
 - MCC code used for Authorisation should remain the same for immediate reversals, refunds, adjustments. As MCC to productCode mapping is the only way for TIDE to know the child Wallet. M2P does not have child wallets.
 - Refunds / Adjustments can be account txn - as they are not cards, MCC code is not very reliable, unless you have the original RNN(Rupay) only.

M2P Supports multi wallet

- Fallback has to be implemented at M2P because subwallets are created for all the members

Vulnerable users:

Cover how the vulnerable users are considered (How will the design of the product ensure that vulnerable users can still get just as good outcomes from using it?)

Details can be found in the [GL Appendix to the Vulnerable Users Policy](#)

Impacted models:

Cover if any Machine Learning (ML), Deep Learning (DL) and Statistical Models (SM) will be affected or created. Do existing models need to be retrained or calibrated to include new data elements?

